Reconciliation of 2023 Business Income for Tax Purposes

General information

Use this form if you are a self-employed business person, including a self-employed commission salesperson, a professional, a farmer, or a fisher, and you:

- started your business in 2023 and are electing to use the **alternative method** to have a fiscal period that does not end on December 31, effective for the first fiscal period of your business
- already elected to have a fiscal period that does not end on December 31 and are calculating your additional business income. This is mandatory if you have made this election. Fill in all the information in Part 2 that applies
- are cancelling your previous election and are now going to use a fiscal period that ends on December 31. Fill in all the information in Part 5 that applies
- are calculating your business or professional income to report on your 2023 income tax and benefit return

Who can elect to use the alternative method

The alternative method is only available, on a per business basis, for businesses carried on in Canada by individuals or partnerships of which all the partners are individuals.

If you are a goods and services tax/harmonized sales tax (GST/HST) registrant, your choice of the fiscal period end for income tax purposes may affect your GST/HST reporting periods, filing, and balance due dates.

You **cannot** use the alternative method if:

- you are in partnerships that are partners in other partnerships
- you are an individual who is a partner in a partnership that includes a professional corporation as a partner
- the expenditures made while carrying on your business are mainly the cost or capital cost of tax-shelter investments
- you have already elected to use the alternative method and then cancelled the election

How to fill in this form

Fill in Part 2 **only** if you are electing or you have already elected to have a fiscal period that does not end on December 31. We refer to this as the alternative method. If you are cancelling your previous election and are now going to use a fiscal period that ends on December 31, fill in all the information in Part 5 that applies.

You must fill in this form and send it with your income tax and benefit return to calculate your additional business income for as long as your fiscal period does not end on December 31.

If you need to calculate an additional business income for a separate business, fill in another Form T1139 for each one.

Filing and balance due dates related to this form

Generally, as an individual you have until April 30, 2024, to file your 2023 income tax and benefit return. However, if you have self-employed income, you have until June 15, 2024 to file your 2023 return. In both cases, any tax owing must be paid by April 30, 2024.

To have a fiscal period that does not end on December 31, you have to send this form with your income tax and benefit return that includes the first day of your first fiscal period. If you started your business in:

- 2023 and your first fiscal period ended in 2023, you **must** fill in this form and send it with your 2023 income tax and benefit return
- 2023, your first fiscal period ends in 2024, and you decide to report your business income on your 2023 return, fill in this form to request an election for your 2023 income tax and benefit return
- 2023, your first fiscal period ends in 2024, and you will report a business income for the first time in 2024, fill in this form to request an election for your 2023 return

If the due date falls on a Saturday, a Sunday, or a public holiday recognized by the CRA, we consider your payment to be on time if we receive it on the next business day. Your return is considered on time if we receive it or if it is postmarked on or before the next business day.

Part 7 – Notes

Amount A

If you have more than one fiscal period that does not end on December 31 for the same business, amount A is the total of the net income (loss) of these fiscal periods. For example, if you had a regular fiscal period ending on May 31, 2023, and then ceased to do business and retired on July 31, 2023, you would have a second fiscal period ending July 31, 2023.

You can find the net income (loss) amount you need to enter at amount A from your income and expenses statement for the fiscal period ending in 2023.

If you started your business in 2023, leave this field blank. Your net income (loss) is the amount found on line 9946 on the following forms:

- T2125, Statement of Business or Professional Activities
- T2121, Statement of Fishing Activities
- T2042, Statement of Farming Activities
- T1163, Statement A – AgriStability and AgriInvest Programs Information and Statement of Farming Activities for Individuals
- T1164, Statement B – AgriStability and AgriInvest Programs Information and Statement of Farming Activities for Additional Farming Operations
- T1273, Statement A – Harmonized AgriStability and AgriInvest Programs Information and Statement of Farming Activities for Individuals
- T1274, Statement B – Harmonized AgriStability and AgriInvest Programs Information and Statement of Farming Activities for Additional Farming Operations

If you are a partner in a partnership

A partner who has authority to act for a partnership can make the request to have a fiscal period that does not end on December 31. In this case, all partners in the partnership **must** fill in a copy of this form and send it with their income tax and benefit return to provide details of their net business income (loss) share.

Enter at amount A your share of the partnership's net business or professional income (loss) for the fiscal period ending in 2023. If you have deductible expenses from your share of the net partnership business income (loss), subtract these amounts before entering your share.

If you received a T5013 slip, Statement of Partnership Income, and you did not make adjustments to the amount in box 116, 120, or 122, enter the amount at amount A of this form for the fiscal period ending in 2023. However, if you made adjustments to the amount in box 116, 120, or 122, enter the amount from line 9946 on the form that applies to your type of business income. See "Amount A" above for a list of the forms.

Examples to calculate the additional business income (amounts B and C)

Amount B – Your business started before 2023

Karim owns a roofing business with a fiscal period from April 1 to March 31. Karim's net income from the business for the fiscal period ending on March 31, 2023, is $45,000. He enters his net income of $45,000 at amount A of his Form T1139. The business does not have income from the disposition of property. Karim will complete the first formula in Part 7 as follows to calculate amount B since his fiscal period ends in 2023:

$$\left(\begin{array}{c}\text{45,000}\\(\text{amount A})\end{array} - \begin{array}{c}\text{0 (since he has no}\\\text{income from}\\\text{disposition of property)}\end{array}\right) \times \frac{\begin{array}{c}\text{275 (the number of days in}\\\text{2023 that are \textbf{after} his fiscal}\\\text{period ending in 2023, so}\\\text{from April 1, 2023,}\\\text{to December 31, 2023)}\end{array}}{\begin{array}{c}\text{365 (the number of days in the}\\\text{fiscal period ending in 2023)}\end{array}} = \underline{\textbf{33,904.11}}\ \text{B}$$

Amount C – Your business started in 2023

Karim started a roofing business with a fiscal period that started on April 1, 2023, and ends on March 31, 2024. Karim's estimated net income from the business for the fiscal period ending on March 31, 2024, is $45,000. The business does not have income from the disposition of property. Karim will complete the second formula in Part 2 as follows to calculate amount C since his first fiscal period ends in 2024 and he decided to declare part of his business income on his 2023 income tax and benefit return:

$$\left(\begin{array}{c}\text{45,000}\\(\text{estimated net}\\\text{income for the}\\\text{fiscal period}\\\text{ending in 2024)}\end{array} - \begin{array}{c}\text{0 (since he has no}\\\text{income from}\\\text{disposition of property)}\end{array}\right) \times \frac{\begin{array}{c}\text{275 (the number of days of his}\\\text{fiscal period that are in 2023,}\\\text{so from April 1, 2023,}\\\text{to December 31, 2023)}\end{array}}{\begin{array}{c}\text{365 (the number of days in the}\\\text{fiscal period ending in 2024)}\end{array}} = \underline{\textbf{33,904.11}}\ \text{C}$$

Part 8 – Detailed information

Amounts H and I

You can find the net income (loss) amount you need to enter at amount H on your income and expenses statement for your first fiscal period ending between January 1, 2023, and December 31, 2023. You can find the net income (loss) amount you need to enter at amount I on your income and expenses statement for the second fiscal period ending between January 1, 2023, and December 31, 2023. You need a separate income and expense statement for each fiscal period. Please see "Additional information for amount I" on the next page. Your net income (loss) is the amount found on line 9946 on the following forms:

- T2125, Statement of Business or Professional Activities
- T2121, Statement of Fishing Activities
- T2042, Statement of Farming Activities
- T1163, Statement A – AgriStability and AgriInvest Programs Information and Statement of Farming Activities for Individuals
- T1164, Statement B – AgriStability and AgriInvest Programs Information and Statement of Farming Activities for Additional Farming Operations
- T1273, Statement A – Harmonized AgriStability and AgriInvest Programs Information and Statement of Farming Activities for Individuals
- T1274, Statement B – Harmonized AgriStability and AgriInvest Programs Information and Statement of Farming Activities for Additional Farming Operations

If you are a partner in a partnership

A partner who has authority to act for a partnership can make the request to return to a fiscal period that ends on December 31. In this case, all partners in the partnership **must** fill in a copy of this form and send it with their income tax and benefit return to provide details of their net business income (loss) share.

Amount H

Enter at amount H your share of the partnership's net business or professional income (loss) for the first fiscal period ending in 2023. If you have deductible expenses from your share of the net partnership business income (loss), subtract these amounts before entering your share.

If you received a T5013 slip, Statement of Partnership Income, and you did not make adjustments to the amount in box 116, 120, or 122, enter amount H for the first fiscal period ending in 2023. However, if you made adjustments to the amount in box 116, 120, or 122, enter the amount from line 9946 on the form that applies to your type of business income. See "Amounts H and I" above for a list of the forms.

Amount I

Enter at amount I your share of the partnership's net business or professional income (loss) of your fiscal period ending December 31, 2023. For example, if your first 2023 fiscal period ended on June 30, 2023, enter at amount I the net income (loss) for the period of July 1, 2023, to December 31, 2023. You must prepare a separate income and expense statement for this period.

If you have deductible expenses that relate to this income that you did not deduct at amount H, subtract them before entering your share of the net partnership income (loss) for this period.

If you received a T5013 slip and you did not make adjustments to the amount in box 116, 120, or 122, enter this amount at amount I for the fiscal period ending on December 31, 2023. However, if you made adjustments to the amount in box 116, 120, or 122, enter the amount from line 9946 on the form that applies to your type of business income. See "Amounts H and I" above for a list of the forms. For more information, see "Additional information for amount I" on the next page.

Part 8 – Detailed information (continued)

Additional information for amount I

Generally, you calculate the income and expenses of your fiscal period ending on December 31, 2023, the same way as your first fiscal period ending in 2023. You have to consider the following items:

- **Reserves**: Add any reserves you deducted in your fiscal period ending in 2023.
- **Opening inventory and closing inventory**: The opening inventory is the amount of the closing inventory of your fiscal period ending in 2023. Similarly, the closing inventory as of December 31, 2023, will be the opening inventory for your 2024 fiscal period.
- **Work-in-progress (WIP)**: You can no longer use the transitional rules which allowed you to include your work-in-progress (WIP) progressively in your income if you had made an election to exclude your WIP. For more information on the inclusion of WIP in your income, see Chapter 2 of Guide T4002.
- **Business-use-of-home expenses**: You can claim any deductible business-use-of-home expenses you could not use in the previous fiscal period ending in 2023. Similarly, you can carry forward to your 2024 fiscal period any deductible business-use-of-home expenses you could not use in your fiscal period ending on December 31, 2023.
- **Capital cost allowance (CCA)**: The undepreciated capital cost (UCC) of the depreciable property at the start of your fiscal period is the UCC at the end of the first fiscal period ending in 2023. Similarly, the UCC at the end of your fiscal period ending on December 31, 2023, is the UCC at the start of your 2024 fiscal period.

  For your fiscal period ending on December 31, 2023, you have to prorate your maximum claim for the CCA based on the number of days in that fiscal period. For example, if your fiscal period ending on December 31, 2023, is 214 days, and you would normally calculate your maximum CCA to be $3,500 for a full year, the maximum amount of CCA you can claim is $2,052, that is to say $3,500 × 214 ÷ 365.

For more information on the items above, see Guide T4002, Self-employed Business, Professional, Commission, Farming, and Fishing Income. For more information on CCA, see Income Tax Folio S3-F4-C1, General Discussion of Capital Cost Allowance, and the guide that applies to your type of business income:

- T4002, Self-employed Business, Professional, Commission, Farming, and Fishing Income
- RC4408, Farming Income and the AgriStability and AgriInvest Programs Harmonized Guide
- RC4060, Farming Income and the AgriStability and AgriInvest Programs Guide

Example to fill in amounts H and I

Karim filed an election when he started his roofing business to have a fiscal period from April 1 to March 31. In 2023, he decides to cancel his election in order to have his fiscal period end on December 31 for 2023 and later years. This means that Karim will have two fiscal periods in 2023 – the first fiscal period from April 1, 2022, to March 31, 2023, and a short fiscal period from April 1, 2023, to December 31, 2023. Karim's net income from the business is $45,000 for the first fiscal period and $30,000 for the short fiscal period. He enters $45,000 at amount H and $30,000 at amount I.